Reserve Bank, we were getting inside track reports that several other states too were considering following the Andhra Pradesh example to restrain microfinance activity, thereby putting a big question mark on the future of the ₹250-billion ($5-billion) microfinance industry across the country.

Once again, the Reserve Bank was in the dock for having acquiesced in these excesses by MFIs. To be sure, what happened was a matter of deep concern and consternation for all of us in the Reserve Bank. At the same time, we were also worried about how the backlash might impact the future of the microfinance industry. There were, of course, excesses and malpractices but we could not risk throwing away the baby with the bath water. How we could get rid of the bad and keep the good was the big challenge.

The Andhra Pradesh law also posed a legal dilemma for us. Under the Reserve Bank Act, MFIs, incorporated as companies, were NBFCs falling within the regulatory ambit of the Reserve Bank. By seeking to regulate MFIs, the Andhra Pradesh law was encroaching into the Reserve Bank's jurisdiction.

The prime minister called me to inquire about the imbroglio in the microfinance sector. He, like me, believed that while we should come down heavily on malpractices, we should not overreact by killing a sector which has provided livelihood support to millions of households across the country. I also explained to the prime minister the legal issue of the overlapping regulation brought on by the Andhra Pradesh law and the possibility of this snowballing across other states. The prime minister suggested that I speak to the chief minister of Andhra Pradesh and resolve the legal complication.

Belonging to the Andhra Pradesh cadre of the IAS as I do, I had known chief minister Konijeti Rosaiah for several years, in fact right from the time of my early career in the late '70s and early '80s when I was holding field jobs in the Government of Andhra Pradesh. He was already a senior politician by then. More importantly, when I was posted as finance secretary to the Government of Andhra Pradesh in September 1993, he was the finance minister in the then Congress government. But that relationship